ECO401 Economics Solved MCQs (Lecture 1 - 18) -2

ECO401 MCQs From Quiz No.2
MCQs Covering lectures from 1-18

Cartels are likely to fail when:
- ► The members adhere to their output quotas.
- ► **The non-cartel members increase output.**
- ► The members charge identical prices.
- ► None of the given options.

Ref by Zubair hussain

Why cartels fail
cartels fail if non-cartel members can supply consumers with large quantities of goods (example: copper) each member of a cartel has an incentive to cheat on cartel agreement. so take option 2 as right

source link: (http://webcache.googleusercontent.com/search?q=cache:Maqnz7c--soJ:are.berkeley.edu/courses/ECON100A/2006/powerpoint.PPT+Cartels+are+likely+to+fail+when&cd=2&hl=en&ct=clnk)

Pure capitalism, freedom of enterprise means that:
Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses

At the equilibrium price:
There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change.

a perfectly competitive market:

Firms can freely enter and exit.

Firms sell a differentiated product.

Transaction costs are high.

All of the given options

If a firm operates in a perfectly competitive market, then it will most likely:
Advertise its product on television.
Have difficult time obtaining information about the market price.
Settle for whatever price is offered.
Have an easy time keeping other firms out of the market.

marginal product is above the average product:
The total product will fall
The average product will rise
Average variable costs will fall
Total revenue will fall

demand curve facing a perfectly competitive firm is:
Upward sloping.
Downward sloping.
Horizontal.
Vertical.